

Patterns of Trade

Trade patterns refer to the composition direction and volume of goods and services a country trades

The **composition** of goods refers to the different categories of goods and services of country can import or export

The **direction** refers to the export destination and the origin of imports in terms of countries or groups of countries

The **volume** refers to the amount traded this is usually measured in dollar values, however it is sometimes expressed a proportion percentage of total imports or exports

The direction of Australia's trade is reflected in its close proximity to the Asia Pacific region, while the **composition** of its trade reflects the nations natural resource wealth

Australia is rich in natural resources (endowed) it has an abundant supply of mineral and energy wealth and has vast tracks of land that can be used for crops and livestock

Australias trade advantage is in its primary industries- resources and agriculture

Australia is a leading world exporter in iron ore, coal, natural gas, gold, bauxite, wool wheat and beef

Australia is fortunate to be located within the Asia pacific region- the most populous and fastest growing region in the world